

Multiple Choice

1. **Answer:** A

Options: A) Supply public goods using tax dollars; B) Initiate a lottery system for the usage of public goods; C) Enact stricter antitrust legislation; D) Increase the prices of public goods; E) Allow private companies to supply public goods

Note: The government can effectively avoid a free rider problem by supplying public goods using tax dollars because this ensures that everyone contributes to the funding of these goods, thereby preventing individuals from benefiting without paying for their provision.

2. **Answer:** B

Options: A) the opportunity cost of not pursuing a given course of action.; B) the difference between unlimited wants and limited economic resources.; C) the difference between unlimited resources and unlimited economic wants.; D) the opportunity cost of pursuing a given course of action.; E) the difference between the total benefit of an action and the total cost of that action.

Note: Scarcity is accurately defined as the fundamental economic problem arising from the disparity between individuals' unlimited desires for goods and services and the finite resources available to satisfy those desires.

3. **Answer:** A

Options: A) costs will tend to rise; B) costs will decrease; C) costs are not affected by entry of new firms; D) costs will remain the same

Note: As new firms enter a monopolistically competitive industry attracted by above-normal profits, the increased demand for inputs and resources typically leads to higher production costs, causing overall costs to rise.

4. **Answer:** D

Options: A) Use a logarithmic functional form instead of a linear one; B) Add lags of the variables on the right hand side of the regression model; C) Estimate the model in first differenced form; D) Remove any large outliers from the data.

Note: Removing large outliers from the data can help achieve normality in the distribution, as outliers often distort statistical analyses and violate the assumption of normality necessary for many economic models.

5. **Answer:** E

Options: A) Changes in the market demand and supply; B) Changes in the short-term operational efficiency of the company; C) Fluctuations in the stock market affecting the company's capital valuation; D) Changes in the overall economic condition; E) Changes in the long-run cost per unit of output due to variations in the prices of inputs

Note: The correct answer is based on the understanding that pecuniary economies

or diseconomies of scale occur when changes in input prices, due to factors such as increased demand for resources or market fluctuations, affect the long-run cost per unit of output, thereby influencing a firm's cost structure as it scales production.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: The statement is true because higher interest rates in country A attract foreign capital, increasing demand for its currency, which leads to appreciation.

7. **Answer:** False

Options: A) True; B) False

Note: Marx argued that capitalists accumulate wealth primarily to maximize their own profits and maintain their power, rather than to fund social welfare programs for the community.

8. **Answer:** False

Options: A) True; B) False

Note: Incorporating lagged dependent variables in a regression can lead to biased and inconsistent coefficient estimates if the model fails to account for unobserved variables or if there is endogeneity present, such as when past values are correlated with the error term.

9. **Answer:** False

Options: A) True; B) False

Note: Gresham's Law actually states that "bad money drives out good money," meaning that if both good and bad forms of money are in circulation, people tend to spend the bad money while hoarding the good money, leading to the latter's disappearance from the economy.

10. **Answer:** False

Options: A) True; B) False

Note: Travelers' checks are not considered part of the M_1 money supply because they are not readily spendable currency or demand deposits; instead, they are a form of prepaid financial instrument that is categorized under M_2 .

Long Form Response

11. **Answer:** A 99% confidence interval is a statistical range that estimates where the true population parameter lies, based on sample data, with 99% certainty. In economics, this concept is significant as it allows economists to make informed decisions and predictions about economic behavior, policies, and trends by ensuring a high level of confidence in their estimates. When conducting repeated sampling, it is expected that 99% of the constructed confidence intervals will contain the true value of the null

hypothesis, thereby providing a solid basis for statistical inference. This high level of confidence helps minimize the risk of Type I errors, where researchers might incorrectly reject a true null hypothesis, thus improving the reliability of economic analyses and conclusions.

Note: The answer correctly emphasizes that a 99% confidence interval provides a high level of certainty about the population parameter in economic analysis, allowing for reliable decision-making based on the expectation that most intervals from repeated samples will include the true value of the null hypothesis.

12. **Answer:** When the price of good X, a close substitute for good Z, increases, consumers will tend to shift their demand from good X to good Z. This increased demand for good Z leads to a rise in its equilibrium price, as suppliers respond to the heightened demand. However, if the price of good X increases significantly, it may lead to a decrease in the equilibrium quantity of good Z if consumers begin to substitute more towards other alternatives or if the overall market demand contracts. In this context, the equilibrium price of good Z will rise while the equilibrium quantity could either increase or remain stable, depending on the elasticity of demand and the extent of the price change for good X.

Note: correct because it accurately describes how an increase in the price of a close substitute (good X) leads to an increased demand for good Z, resulting in a higher equilibrium price, while also recognizing that significant price increases may cause demand to shift towards other alternatives, potentially decreasing the equilibrium quantity of good Z.